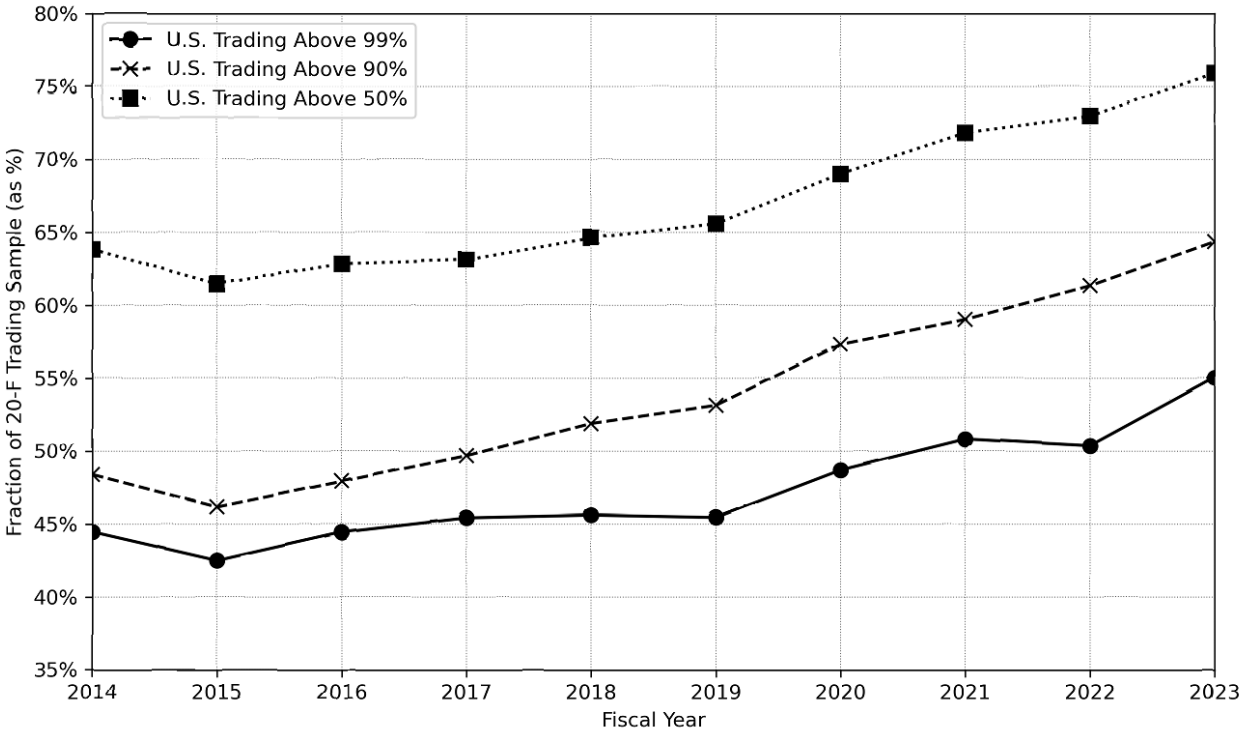
overall, there has been a shift from fiscal year 2014 to fiscal year 2023 toward a greater reliance on trading in U.S. capital markets across the whole distribution of 20-F FPIs.

Figure 4 below presents more detail of the trends over time in the fraction of 20-F FPIs that have a U.S. Percentage of Global Trading in excess of the 99 percent, 90 percent, and 50 percent U.S. Percentage of Global Trading thresholds, respectively (or equivalently, no more than one percent, 10 percent, and 50 percent of global trade occurring outside U.S. markets). Based on the data shown in Figure 4, there has been a gradual increase from fiscal year 2014 to fiscal year 2023 in the number of 20-F FPIs that appear to trade almost exclusively in the United States.

Figure 4: Trends in Fraction of FPIs with Different Degrees of U.S. Market Trading Focus, FYs 2014-2023



The staff relied on the category meeting the 99 percent threshold of U.S. Percentage of Global Trading to identify the group of 20-F FPIs that appears to have their equity securities traded almost exclusively in U.S. capital markets ("U.S. Exclusive FPIs") versus those that do

not ("Non-U.S. Exclusive FPIs"). The 99 percent threshold ensures that FPIs above this level are not likely to have a meaningful listing of their equity securities outside of U.S. capital markets while allowing that some occasional OTC trading can happen outside the United States.[90]

Using this bifurcation, Figure 4 shows that the fraction of U.S. Exclusive FPIs among 20-F FPIs has increased from approximately 44 percent in fiscal year 2014 to almost 55 percent in fiscal year 2023, consistent with the result from Figure 3 above. If we instead bifurcate the population at the 90 percent U.S. Percentage of Global Trading threshold, which can be viewed as a cut-off between 20-F FPIs that do not have any significant trading outside U.S. capital markets versus those that do, the group with more than 90 percent U.S. Percentage Global Trading has increased its fraction in the population even more dramatically than the U.S. Exclusive FPIs, going from approximately 48 percent in fiscal year 2014 to 64 percent in fiscal year 2023. Finally, Figure 4 shows that a large majority of 20-F FPIs in fiscal year 2023 had more than 50 percent of their trading in U.S. capital markets. This fraction also has significantly increased over the period from approximately 64 percent in fiscal year 2014 to about 76 percent in fiscal year 2023.

2. FPIs Trading Almost Exclusively in U.S. Capital Markets

This section presents the staff's analysis of the size and home country jurisdictions of U.S. Exclusive FPIs, as defined in the previous section, as compared to other 20-F FPIs. As detailed below, the staff observed that U.S. Exclusive FPIs tend to have lower market capitalizations and have a different composition of home country jurisdictions than other 20-F

[90] A staff review of all 20-F FPIs in fiscal year 2023 that had a U.S. Percentage of Global Trading of 99% or more (or equivalently, less than 1% of global trade occurring outside U.S. markets) confirmed that there is limited evidence of a cross listing on an exchange outside the United States for these FPIs. The minimal recorded non-U.S. trading is largely due to transactions conducted on foreign OTC markets.

FPIs. In particular, U.S. Exclusive FPIs have a higher propensity of being incorporated in the Cayman Islands and headquartered in China.

Table 6 below displays statistics on global market capitalizations for U.S. Exclusive and Non-U.S. Exclusive FPIs, respectively, for fiscal year 2023.

Table 6: Global Market Capitalization Statistics for FY 2023: U.S. Exclusive vs. Non-U.S. Exclusive FPIs[a]

U.S. Exclusive FPIs				Non-U.S. Exclusive FPIs				Market Cap Fraction of U.S. Exclusive FPIs (%)
Count	Aggregate Market Cap ($MM)	Mean Market Cap ($MM)	Median Market Cap ($MM)	Count	Aggregate Market Cap ($MM)	Mean Market Cap ($MM)	Median Market Cap ($MM)	
519	827,288	1,594	86	424	8,180,951	19,295	1,646	9.2

[a] U.S. Exclusive FPIs are those with a U.S. Percentage of Global Trading of more than 99% and Non-U.S. Exclusive FPIs are those with a U.S. Percentage of Global Trading of 99% or less. For each company, market capitalization is global U.S. dollar market value of all traded common equity securities as of the fiscal year-end date or if there is no data available for that date, from the next closest trading day with available data. This data was collected from LSEG Workspace.

The table above shows that the aggregate global market capitalization of U.S. Exclusive FPIs is much smaller on average than that of Non-U.S. Exclusive FPIs. As a result, the aggregate global market capitalization of U.S. Exclusive FPIs is only a small fraction (nine percent) of the total aggregate global market capitalization of 20-F FPIs despite representing a majority of the 20-F FPIs.[91]

The following pie charts graphically illustrate the fraction of 20-F FPIs that are U.S. Exclusive FPIs (*i.e.*, at least 99 percent U.S. Percentage of Global Trading) in fiscal year 2023 in numerical terms as well as in terms of the fraction of global market capitalization of 20-F FPIs, with additional thresholds of U.S. Percentage of Global Trading included for context.

[91] *See* Table 4 in the FPI Trends White Paper for similar yearly market capitalization statistics covering the entire fiscal year 2013-2023 period.

Figure 5: Distribution of Companies and Market Capitalization by U.S. Global Trading Percentage Categories for 20-F FPIs in FY 2023

Figure 5a: Distribution of 20-F FPIs

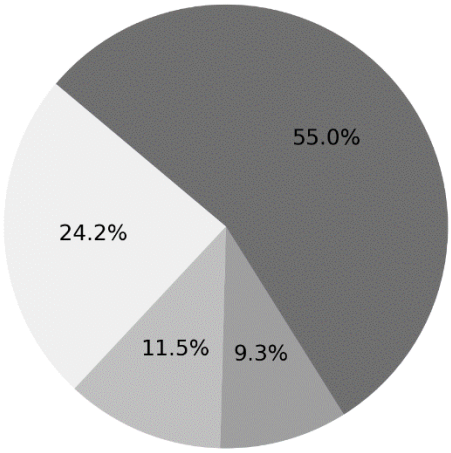
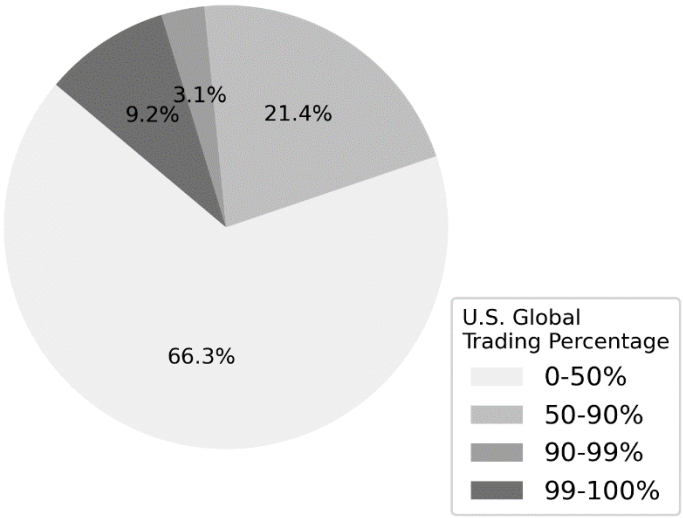


Figure 5b: Distribution of Aggregate 20-F FPI Market Capitalization



The pie charts illustrate that while FPIs with a heavy reliance on U.S. capital markets represent a large proportion of the number of 20-F FPIs in fiscal year 2023 (pie chart A), they represent a smaller fraction of the global market capitalization of 20-F FPIs due to their smaller size (pie chart B). In particular, while 55 percent of 20-F FPIs are U.S. Exclusive FPIs, this group only makes up 9.2 percent of the aggregate 20-F FPI market capitalization. In contrast,

24.2 percent of 20-F FPIs have a U.S. Global Trading Percentage of less than 50 percent, but that group makes up 66.3 percent of the 20-F FPI market capitalization.

Next, Tables 7 and 8 present the top jurisdictions of incorporation and headquarters of U.S. Exclusive FPIs, relative to Non-U.S. Exclusive FPIs for fiscal year 2023.

Table 7: Jurisdiction of Incorporation, FY 2023; U.S. Exclusive vs. Non-U.S. Exclusive FPIs

U.S. Exclusive			Non-U.S. Exclusive		
Country	**Count**	**Fraction (%)**	**Country**	**Count**	**Fraction (%)**
Cayman Islands	265	51.1	Canada	61	14.4
Israel	58	11.2	Cayman Islands	53	12.5
British Virgin Islands	51	9.8	Israel	38	9.0
Marshall Islands	33	6.4	United Kingdom	32	7.5
Bermuda	14	2.7	Brazil	27	6.4
Canada	13	2.5	Netherlands	21	5.0
Netherlands	9	1.7	Australia	18	4.2
United Kingdom	8	1.5	Bermuda	15	3.5
Ireland	7	1.3	Argentina	13	3.1
Japan	6	1.2	Mexico	12	2.8
Luxembourg	6	1.2	France	11	2.6
Australia	5	1.0	Switzerland	11	2.6
Singapore	5	1.0	Germany	9	2.1
Switzerland	5	1.0	Japan	9	2.1
China	4	0.8	South Korea	9	2.1
Guernsey	4	0.8	British Virgin Islands	7	1.7
Jersey	4	0.8	Chile	7	1.7
France	3	0.6	Luxembourg	7	1.7
Italy	3	0.6	India	6	1.4
All other jurisdictions (12)	16	3.1	All other jurisdictions (22)	58	13.7
Total	*519*	*100.0*	*Total*	*424*	*100.0*

Table 8: Jurisdiction of Headquarters, FY 2023; U.S. Exclusive vs. Non-U.S. Exclusive FPIs

U.S. Exclusive			Non-U.S. Exclusive		
Country	**Count**	**Fraction (%)**	**Country**	**Count**	**Fraction (%)**
China	177	34.1	Canada	57	13.4
Israel	63	12.1	China	39	9.2
Hong Kong, SAR, China	40	7.7	Israel	39	9.2
Singapore	39	7.5	United Kingdom	34	8.0
United Kingdom	25	4.8	Brazil	28	6.6
Greece	19	3.7	Germany	18	4.2
United States	14	2.7	Argentina	15	3.5
Bermuda	13	2.5	Australia	15	3.5
Canada	12	2.3	Mexico	12	2.8
Brazil	10	1.9	Bermuda	11	2.6
Ireland	9	1.7	France	11	2.6
Japan	7	1.3	Netherlands	11	2.6
Australia	6	1.2	Switzerland	11	2.6
Cayman Islands	6	1.2	United States	11	2.6
Switzerland	6	1.2	Japan	9	2.1
Luxembourg	5	1.0	South Korea	8	1.9
Malaysia	5	1.0	Taiwan	8	1.9
Netherlands	5	1.0	Chile	7	1.7
UAE	5	1.0	Luxembourg	7	1.7
All other jurisdictions (27)	53	10.2	All other jurisdictions (26)	73	17.2
Total	*519*	*100*	*Total*	*424*	*100*

Table 7 shows that the Cayman Islands is by far the most common jurisdiction of incorporation among U.S. Exclusive FPIs, with more than 50 percent of all U.S. Exclusive FPIs incorporated there.[92] By contrast, the Non-U.S. Exclusive group displays less concentration of jurisdictions, with a larger set of countries being significantly represented in the population. Similarly, Table 8 shows that the concentration of jurisdictions of headquarters is high among U.S. Exclusive FPIs, albeit to a lesser extent than for incorporation, where three jurisdictions

[92] Given the trend of a significant increase in CI-BVI incorporated FPIs, we note that such FPIs combined make up almost 61% of U.S. Exclusive FPIs in fiscal year 2023. If we add FPIs incorporated in either of the two nations of the Marshall Islands and Bermuda, the combined group of FPIs incorporated in any of these island nations make up 70% of all U.S. Exclusive FPIs. *See infra* section IV.A and note 94 for some points for consideration regarding this subset of FPIs.

(China, Israel, and Hong Kong, SAR) make up more than 50 percent of the jurisdiction of headquarters among U.S. Exclusive FPIs, whereas the distribution of jurisdictions is much less concentrated among Non-U.S. Exclusive FPIs.

IV. Reassessment of the FPI Definition

A. Background

The changes in the characteristics of the FPI population reflected in the staff's analysis in section III raise questions about whether the current FPI definition is appropriately tailored. First, the breakdown of 20-F FPIs' home country jurisdictions has changed significantly in recent decades. As a result, more FPIs today appear to have disclosure requirements under the rules of their home country jurisdiction,[93] specifically in regard to current reporting, that differ from the disclosure requirements imposed on domestic issuers and on issuers in countries whose representation within the FPI population has been decreasing.[94] This trend may have resulted in less information about 20-F FPIs being made available to U.S. investors than in the past, due to

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[93] *See, e.g.*, those incorporated or organized in the Cayman Islands (33.3%), British Virgin Islands (6.4%), Bermuda (3.0%), and Marshall Islands (3.8%). *See supra* Table 1. Cayman Islands Companies Act 2023 (which appears to limit current reporting obligations to mergers and consolidations, bankruptcies, increases in capital, and some corporate governance matters); BVI Companies Act (which appears to only require the filing of amendments to governing corporate documents and a register of directors); Bermuda Companies Act 1981 (which appears to have limited disclosure requirements in the case of: a material change to the accuracy of particulars included in a prospectus issued pertaining to continuously offered shares, a reduction in share capital, a conversion of shares, a change in accounting standards, and some mergers as well as requirements to file certain information to be accessible for public inspection in the case of mergers, amended corporate governance documents, and changes in directors); Marshall Islands BCA (which appears to have no public current reporting requirements and only minimal requirements to disclose to shareholders amended corporate governance documents, dividend issuances, cancellations of shares and reductions in stated capital).

[94] *See, e.g.*, *supra* Table 3 and Table 4 in section III.B for data regarding the decrease in 20-F FPIs incorporated or headquartered in Canada, the European Union (*e.g.*, the Netherlands, France, Germany, et al.), the United Kingdom, Brazil and Japan. *See also, e.g.*, Canada's National Instrument 51-102, available at https://www.bcsc.bc.ca/-/media/PWS/New-Resources/Securities-Law/Instruments-and-Policies/Policy-5/51102-NI-July-25-2023.pdf?dt=20230720164040; Europe's Market Abuse Regulation, available at https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=celex%3A32014R0596; the UK's Market Abuse Regulation ("U.K. MAR"), available at https://www.legislation.gov.uk/eur/2014/596/contents and Disclosure Guidance and Transparency Rules, available at https://www.handbook.fca.org.uk/handbook/DTR; Brazil's CVM Instruction No 480, of Dec. 7, 2009; Japan's Financial Instrument and Exchange Act (Act No. 25 of Apr. 13, 1948) and Corporate Disclosure Ordinance Art. 19.

the FPI disclosure accommodations and their interaction with home country requirements. The trend may also raise questions about the extent of overall regulation that such FPIs face in their home country jurisdictions, potentially resulting in increased risks to U.S. investors in FPIs' securities or competitive implications for domestic issuers and other FPIs.[95]

Second, the staff's analysis in section III indicates that an increasing percentage of 20-F FPIs' equity securities trade almost entirely in U.S. capital markets, rather than foreign markets, which raises questions about the extent to which such issuers are regulated in foreign markets. While the staff's analysis indicated that these documented trends are driven by 20-F FPIs with relatively small market capitalizations, the number of these FPIs is significant, and their share of aggregate global market capitalization may increase over time. The staff analysis shows that as of fiscal year 2023, over 50 percent of 20-F FPIs appear to have had no or minimal (less than one percent of total global) trading of their equity securities on any non-U.S. market over a 12-month period centered around the fiscal year-end date and appear to maintain listings of their equity securities only on U.S. national securities exchanges. As a result, the United States is effectively those issuers' exclusive or primary trading market and such issuers may be even less likely to be subject to meaningful disclosure requirements and oversight outside of the United States. As discussed above in section II.A, the current regulatory accommodations for FPIs were based, in part, on the expectation that most FPIs would be subject to meaningful disclosure and other regulatory requirements in their home country jurisdictions, which no longer appears to be the case for a significant number of FPIs.

[95] *See supra* section II.B for a discussion of the FPI accommodations as compared to the requirements for domestic issuers.

Some jurisdictions provide issuers organized under their laws or listed on their exchanges with exemptions from their disclosure requirements or other regulatory accommodations if the issuers qualify as FPIs under U.S. securities laws. For example, the Israel Securities Authority[96] exempts such issuers from certain home country reporting requirements and instead permits them to report according to the laws of the jurisdiction of their primary listing. The amendments and guidance promulgated by some regulators specifically consider the accommodations granted under the FPI regulatory framework in the United States.[97] The reasons that foreign jurisdictions have chosen to defer to U.S. securities law may vary and are not necessarily a sign that foreign

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[96] *See* Israel Securities Authority (ISA), section 35EE(b) of the Law and the Securities Regulations (Periodic and Immediate Reports of Foreign Corporations) 2000, available at https://www.new.isa.gov.il/images/Fittings/isa/asset_library_pic/al_lobby/al_lobby-64805b1867e84/2652015_2.pdf, which does not require the disclosure under the ISA rules and instead relies on the reports that dual listed companies are required to file according to the foreign law, including for those companies incorporated in Israel. *See also*, ISA, *Legal Position No. 1991-11: Reporting Requirements of Dual Listed Companies* (Aug. 18, 2013), available at https://www.new.isa.gov.il/en/nav-index/supervised-double-listing/Staf-Positions-PlenaryDecisions ("[T]his arrangement exempts companies listed for trade in Israel from reporting requirements pursuant to the Israeli Securities Law and permits them to continue to report exclusively according to the foreign law that applies to them (U.S. or U.K. security laws, including the directives of the relevant stock exchanges).").

[97] *See* ISA *Legal Position No. 1991-11*, *supra* note 97 ("By adopting the dual listing arrangement, the legislator accepted the significant differences between the reporting format of companies traded exclusively in Israel and the reporting format of companies traded on another main market, and for which the TASE is a secondary trading arena" and "we note that at the time the dual listing arrangement was enacted, it was known that Israeli companies overseas receive exemptions on certain disclosure requirements compared to the disclosure requirements that apply to U.S. companies, but it was ultimately decided not to demand that they meet the more stringent requirements."). Other jurisdictions, such as the UK, specifically consider the accommodations granted under the U.S. FPI framework in their continuous disclosure regulations. *See* Financial Conduct Authority, *PS 24/6 Primary Markets Effectiveness Review: Feedback to CP 23/31 and final UK Listing Rules* (July 17, 2024), available at https://www.fca.org.uk/publication/policy/ps24-6.pdf, which applies the more flexible continuous disclosure rules of the previous standard listing segment to overseas issuers in the international commercial companies secondary listing category and requires overseas issuers to comply with the applicable rules of the overseas market of their primary listing: ("[W]e proposed introducing a new secondary listings category for the equity shares of non-UK incorporated companies that sought a 'secondary' listing in the UK (i.e. they already had at least one other equity listing on another market). The intention was to ensure the new listing structure remains accessible to non-UK incorporated companies where either domestic company law or rules flowing from their 'primary' listing venue may mean they would not be eligible for the commercial companies category….. We have removed the reference to 'without modification' in the definition of qualifying home listing that was included in the draft rule. This is to reflect feedback that some regimes impose additional requirements on primary listings when an issuer is treated as a foreign primary listing for the purposes of that market. It was not our intention to exclude these issuers from this category (eg. issuers treated as Foreign Private Issuers in the US) and so we have amended the rule.").

disclosure frameworks are deficient. However, the result of this deference is that a key element that would otherwise assure investor protections despite the FPI accommodations—that an FPI is subject to meaningful disclosure requirements in its home country or due to its foreign listing—could be absent,[98] and the Commission's rules and regulations might effectively be providing the primary or sole source of reporting requirements. This appears to be at odds with the historical expectations expressed by the Commission with regard to FPIs.[99]

If an FPI is not subject to meaningful requirements in its home country jurisdiction that elicit disclosure in a timely manner, or if there are other limitations to foreign regulatory oversight of the FPI, the FPI definition may need to be revised. In particular, the FPI definition may need to be adjusted to ensure that (1) U.S. investors receive appropriate disclosure and remain adequately protected when investing in FPIs' securities and (2) that the discrepancy in regulatory requirements does not have unintended competitive implications.

B. Potential Regulatory Responses

To ensure that the Commission's accommodations for foreign issuers are appropriately tailored to reflect today's FPI population while continuing to protect U.S. investors and provide them with access to foreign issuers' securities, we are soliciting public comments on whether accommodations afforded to FPIs today should continue to apply to the foreign issuers currently captured by the FPI definition or if the definition should be amended to reflect recent changes to the FPI population described above.[100] Further, we are soliciting public input on several possible approaches to amending the FPI definition. We welcome and encourage market participants and

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[98] *See* ISA *Legal Position No. 1991-11*, *supra* note 97 ("Protection of the investor public in Israel based on several rings of regulation, mainly the foreign law, the regulation by the foreign regulator, and the market discipline in those countries.").

[99] *See supra* section I. *See also*, *supra* note 2.

[100] We are not seeking comments on the requirements for MJDS issuers because this release is focused on the FPI definition. *See supra* section III.